

STRATUM CAPITAL BANK

Enterprise Governance & Risk Framework

Chapter 15

Lending Decision & Underwriting Handbook

A Practical Reference for Consumer Loan Underwriting, Credit Analysis, and Enterprise Lending Decisions

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15.1. Introduction

This chapter sets out how Stratum Capital Bank translates borrower information into a lending decision. Earlier chapters of the Enterprise Governance & Risk Framework described individual borrower characteristics in isolation — income, credit grade, employment tenure, revolving utilization, and delinquency history. In practice, no underwriter evaluates a single characteristic on its own. An application is approved or declined based on how its characteristics interact, reinforce one another, or offset one another. This handbook exists to make that interaction explicit and repeatable across every branch, every credit analyst, and every committee that touches a consumer lending file.

The purpose of underwriting is not to eliminate risk. A retail lender that declines every applicant with any imperfection would have no loan book and no franchise. The purpose of underwriting is to price and structure risk correctly, to decline the applications that carry an unacceptable probability of loss regardless of price, and to route genuinely uncertain cases to a reviewer who can apply judgment that a scorecard or a policy grid cannot capture.

15.1.1 Enterprise Lending Philosophy

Stratum Capital Bank underwrites to three simultaneous objectives: protecting depositor and shareholder capital, extending credit responsibly to borrowers who can reasonably be expected to repay under foreseeable circumstances, and maintaining a loan portfolio whose aggregate risk profile is consistent with the Bank's stated risk appetite (see Chapter 9). These objectives are not always aligned. A borrower who can afford a loan today may not be able to sustain it through a change in interest rates, employment, or household circumstances. Underwriting decisions must therefore look through the point-in-time snapshot presented in an application and consider the durability of repayment capacity.

15.1.2 Responsible Lending

Every underwriting decision must be defensible on the basis of the evidence in the file. Responsible lending means declining applications where the evidence does not support repayment, even where an approval would be commercially attractive in the short term. It equally means not declining an application on the basis of a single adverse characteristic where the totality of the file demonstrates capacity and willingness to repay. Both over-lending and reflexive under-lending are underwriting failures, and both are addressed throughout this handbook.

15.1.3 Risk-Adjusted Decision Making

Underwriting is not a pass/fail exercise. Two applications that both clear the minimum policy threshold may still warrant different pricing, different loan structures, different monitoring intensity, or different approval authority. This handbook uses seven decision outcomes — Strong Approval, Standard Approval, Conditional Approval, Manual Review, Senior Credit Review, Risk Committee Review, and Decline — precisely because a binary approve/decline framework cannot express the gradation of risk that real applications present.

15.1.4 Human Judgment and Structured Assessment

This handbook documents a structured, repeatable method for combining borrower characteristics into a decision. Structure exists to promote consistency, not to remove the underwriter from the decision. Every section of this chapter that describes a decision outcome also describes the evidence an underwriter should look for to confirm,

escalate, or override that outcome. Where a case does not fit cleanly into the patterns described here, the underwriter's obligation is to document the reasoning, not to force the file into the nearest category.

15.1.5 Credit Committee Responsibilities

Applications that exceed branch or individual underwriter authority, or that present conflicting risk signals, are escalated to a Credit Committee. The Committee's role is to review the underwriter's analysis, test it against the evidence, and either ratify, amend, or overturn the recommended decision. Committee members are expected to articulate which specific characteristics drove their vote, so that the decision record remains useful for future portfolio review and audit.

15.1.6 How This Chapter Should Be Used

- Loan Officers and Credit Analysts should use Sections 15.3 through 15.7 as the working reference for structuring a recommendation.
- Underwriters and Credit Committee members should use Section 15.5 to confirm the correct decision tier and Section 15.6 to gauge how much confidence the file supports.
- New staff and staff in training should study Section 15.8, which walks through worked examples end to end.
- Risk Managers and Internal Audit should use Section 15.9 as a checklist of the errors most frequently found in file review.
- Branch Managers should use Section 15.10 to brief staff on enterprise expectations for consistency and documentation.

15.2. The Lending Decision Process

Every consumer lending decision at Stratum Capital Bank moves through the same eight stages, regardless of channel or product. The stages are sequential in principle, though in practice several proceed in parallel once an application is complete. The purpose of documenting the workflow in detail is to make clear, at every step, what evidence is being gathered and what question that evidence is meant to answer.

1. Application Submission
2. Document Verification
3. Borrower Assessment
4. Credit Analysis
5. Affordability Assessment
6. Risk Evaluation
7. Approval / Manual Review / Decline
8. Loan Monitoring

15.2.1 Application Submission

The application captures the borrower's stated purpose for the loan, requested amount and term, income, employment status, residential status, and existing debt obligations. At this stage the file is incomplete by definition: nothing has been verified. The branch or digital channel confirms only that the application is complete enough to proceed — no required field left blank, no obvious internal inconsistency such as a requested loan amount that exceeds the stated purpose by an implausible margin.

15.2.2 Document Verification

Verification tests whether the applicant's statements match independent evidence: paystips or bank statements against stated income, employer contact or payroll confirmation against stated employment, government identification against stated identity, and a credit bureau pull against stated existing obligations. Discrepancies between the application and verification evidence are not automatically disqualifying, but they must be resolved and documented before the file proceeds. An unresolved discrepancy is treated as a fraud indicator under Section 15.3.8.

15.2.3 Borrower Assessment

This stage builds a picture of the borrower as a credit counterparty independent of the specific loan requested: length and stability of employment, length and stability of residence, credit history length, account mix, and payment history. Borrower assessment answers the question, 'Is this a person who reliably meets financial obligations over time?' rather than, 'Can this person afford this specific payment?' — the latter is addressed separately in Affordability Assessment.

15.2.4 Credit Analysis

Credit analysis quantifies creditworthiness using the bureau-reported credit grade, revolving utilization, number and age of trade lines, presence and recency of delinquencies, collections, or public records, and inquiry activity. The output of credit analysis is a credit risk grade consistent with the methodology set out in Chapter 7. This grade is one input into the underwriting decision, not the decision itself — Section 15.4 explains why grade must always be read alongside income, debt burden, and loan characteristics rather than in isolation.

15.2.5 Affordability Assessment

Affordability assessment compares the proposed payment, combined with all other debt service, against verified income to produce a debt-to-income ratio (DTI), and applies a stress test that models the payment under a plausible adverse scenario (for example, an interest rate reset on variable-rate exposure, or a reduction in variable income components such as overtime or commission). A loan that is affordable only under the borrower's current, best-case income profile has failed affordability assessment in substance even where the headline DTI clears policy.

15.2.6 Risk Evaluation

Risk evaluation is where borrower assessment, credit analysis, and affordability assessment are combined into a single risk view, alongside loan-specific characteristics such as amount, term, collateral (where applicable), and purpose. This is the analytical core of underwriting and is the subject of Section 15.4 of this chapter, which sets out how characteristic combinations — not individual characteristics — should be read.

15.2.7 Approval, Manual Review, or Decline

The output of risk evaluation is routed to one of the seven decision tiers described in Section 15.5. Every decision, including a decline, must record the specific characteristics that drove it, so that the applicant can be given an accurate adverse action reason where required, and so that the decision can be reviewed by audit or by the Committee if escalated.

15.2.8 Loan Monitoring

Underwriting does not end at disbursement. Approved loans are monitored on a risk-based schedule (see Section 15.8 for monitoring recommendations attached to individual case types). Monitoring exists to detect early signs that the repayment capacity assumed at origination is deteriorating, so that the Bank can engage the borrower proactively rather than discover a default after the fact.

15.3. Decision Principles

This section defines the ten borrower and application dimensions that underwriters weigh when forming a lending decision. Each dimension is explained on its own here for clarity; Section 15.4 explains how they are read together, which is how they are actually applied in practice.

15.3.1 Repayment Capacity

Repayment capacity is the borrower's demonstrated and projected ability to service the proposed debt from income after accounting for existing obligations and reasonable living expenses. It is distinct from creditworthiness: a borrower can have a strong credit history and still lack the income to support a new payment, and a borrower with a thin credit file can have ample income and low existing debt. Repayment capacity is assessed primarily through DTI and the affordability stress test described in Section 15.2.5.

15.3.2 Creditworthiness

Creditworthiness reflects the borrower's track record of managing credit obligations, expressed through the credit grade methodology in Chapter 7. It answers a backward-looking question — how has this borrower behaved with credit historically — and is a strong but imperfect predictor of future behavior. A high grade with a very short history carries less evidentiary weight than the same grade supported by several years of sustained, on-time performance across multiple account types.

15.3.3 Income Stability

Income stability considers not just the amount of income but its source, consistency, and durability. Salaried income from a tenured position at an established employer is treated as more stable than commission income, gig income, or income reliant on seasonal or contract work. This does not disqualify non-salaried applicants; it means their income is typically discounted or averaged over a longer look-back period before being used in affordability calculations (see Section 15.7.6 on self-employed applicants).

15.3.4 Debt Burden

Debt burden captures the borrower's total committed obligations relative to income, expressed as DTI, and the composition of that debt. A borrower carrying primarily installment debt with a clear amortization schedule presents differently than a borrower carrying the same DTI mostly in revolving balances, which can expand rather than amortize. High revolving balances close to the credit limit are treated as a more elastic and less predictable form of debt burden than fixed installment obligations.

15.3.5 Borrowing Behavior

Borrowing behavior looks at patterns over time: frequency of new credit applications, reliance on new debt to service old debt, a pattern of maxing out and paying down revolving lines repeatedly, or a sudden acceleration in the number of open accounts. These patterns can indicate financial stress that has not yet appeared as delinquency, and are weighted accordingly even when the credit grade itself remains acceptable.

15.3.6 Credit Discipline

Credit discipline is demonstrated through consistency of on-time payment, the absence of recent delinquency, and responsible utilization of revolving credit. It differs from creditworthiness in that it emphasizes recent behavior specifically — a borrower can carry an older derogatory mark from a period of documented hardship while demonstrating strong discipline over the subsequent several years, and underwriters are expected to weigh the recency and trend of behavior, not just its presence in the file.

15.3.7 Portfolio Risk

Individual lending decisions are also evaluated against their contribution to portfolio concentration — by product type, geography, borrower segment, and risk grade — as set out in the risk appetite statement in Chapter 9. An application that would be approved in isolation may be referred for Senior Credit Review if the branch or segment is approaching a concentration limit.

15.3.8 Fraud Indicators

Fraud indicators include mismatches between stated and verified information, identification documents that fail authentication checks, income documentation that appears altered, addresses or contact details that cannot be independently confirmed, and application patterns consistent with third-party origination (loan packaging). Any unresolved fraud indicator halts the standard workflow and routes the file to Senior Credit Review regardless of how favorable the other characteristics appear.

15.3.9 Documentation Quality

Documentation quality reflects whether the file contains sufficient, consistent, and verifiable support for the claims made in the application. A thin or inconsistent file increases uncertainty even where the underlying borrower may be entirely creditworthy, and is addressed through Manual Review rather than Decline in most cases — see Section 15.6 on resolving missing information.

15.3.10 Risk Appetite

Every decision is made against the backdrop of the Bank's current risk appetite for the product and segment in question, which may tighten or loosen underwriting tolerances independent of any individual applicant's characteristics — for example, during a period of anticipated economic stress. Underwriters should confirm the current risk appetite settings before applying the thresholds referenced elsewhere in this chapter, as those thresholds are illustrative of normal-cycle conditions.

15.4. Feature Combination Analysis

No underwriting decision is made on a single characteristic. This section is the analytical core of the chapter because it documents how the ten dimensions in Section 15.3 interact in practice. Underwriters should read every combination below as a pattern, not a rule: two or three characteristics rarely determine a decision outright, but they establish a strong presumption that the remaining evidence in the file must either confirm or overturn.

15.4.1 How to Read a Combination

Each pattern in this section names two or three co-occurring characteristics and the typical decision outcome they support. The word 'typical' is doing real work: a combination that usually supports Standard Approval can still warrant Manual Review if a fraud indicator is present, and a combination that usually supports Decline can occasionally warrant Manual Review if strong compensating evidence exists elsewhere in the file (for example, substantial verified liquid savings). The combinations below describe the base case; Section 15.7 describes the exceptions.

Combination	Typical Outcome	Why
High Income + Low DTI + Grade A	Strong Approval	Income comfortably exceeds obligations, credit history shows sustained discipline, and the loan represents a small increase in total debt burden.
High Income + High DTI + Grade B	Conditional Approval	Strong income offsets debt burden, but the DTI itself signals limited cushion against an income shock; conditions typically include a lower approved amount or a shorter term.
Low Income + High Loan Amount	Manual Review	The requested amount is disproportionate to verified income regardless of credit grade; an underwriter must confirm purpose, collateral where applicable, and whether a smaller amount would still meet the borrower's need.
Grade C + Recent Delinquencies	Higher Risk (typically Manual Review or Decline)	A moderate grade combined with delinquency in the recent look-back window indicates deteriorating, not merely middling, credit behavior.
Grade B + Verified Income + Long Employment	Reduced Risk (supports Standard or Strong Approval)	Employment tenure and verified income are strong indicators of payment durability that can offset a grade that is good but not excellent.
Excellent Grade + High Revolving Utilization	Mixed Risk (typically Conditional Approval)	Grade reflects historical discipline, but high utilization suggests current financial pressure; the combination is genuinely ambiguous and should not be resolved by grade alone.
Poor Grade + Bankruptcy + High DTI	Likely Decline	Each characteristic independently signals elevated risk; in combination they rarely leave room for approval absent an unusually compelling compensating factor.

15.4.2 Extended Combination Library

The seven patterns above are the combinations most frequently encountered in the consumer portfolio. The extended library below covers additional combinations that arise less frequently but are common enough to

warrant a documented default treatment.

Moderate Income + Very Low DTI + Grade A + Long Residency

STRONG APPROVAL

Low DTI combined with residential stability suggests a borrower who manages a conservative household budget; income does not need to be high for this to be a low-risk file.

High Income + New Credit History + No Delinquencies

STANDARD APPROVAL

Strong income and clean (if short) history support approval; a shorter approved term or a modestly lower amount is a common condition until history lengthens.

Grade A + Small Loan Amount + Established Relationship

STRONG APPROVAL

Small, well-supported requests from existing, well-performing customers represent the lowest-friction approval category in the portfolio.

Grade B + Multiple Recent Inquiries + Rising Revolving Balances

MANUAL REVIEW

This pattern can precede visible delinquency; the underwriter should confirm whether new credit reflects a one-off event (e.g., relocation) or a sustained pattern of reliance on credit to cover shortfalls.

Grade C + Stable Long-Term Employment + Low DTI

CONDITIONAL APPROVAL

A moderate grade offset by strong affordability and employment stability is a common 'second-look' profile; approval is usually supportable at a reduced amount or with pricing that reflects the grade.

Self-Employed + Strong Bank Statement History + Moderate Grade

CONDITIONAL APPROVAL

Verified cash flow from statements can substitute for the payslip evidence unavailable to self-employed applicants; see Section 15.7.6.

Grade A + High Loan-to-Income Ratio + First-Time Borrower Segment

MANUAL REVIEW

Even an excellent grade does not fully offset a request that is large relative to income when the borrower has no track record with the Bank specifically.

Grade D + Very Low Loan Amount + Secured Product

CONDITIONAL APPROVAL

Collateral materially changes the loss-given-default profile even where probability of default (reflected in grade) remains elevated.

High DTI + Recent Job Change (Same Field, Higher Pay)

MANUAL REVIEW

A recent change can be a positive signal (career advancement) or a risk signal (probationary period, shorter tenure); verification of the new position's stability is required before the file can move to approval.

Grade B + Prior Bank Relationship + One Historical Delinquency 3+ Years Old)

STANDARD APPROVAL

A single, aged, resolved delinquency carries materially less weight than recent or unresolved derogatory history, particularly where subsequent performance is clean.

Low Income + Low Loan Amount + Grade A + Low DTI

STRONG APPROVAL

Loan size proportionate to income, combined with strong credit discipline, is low risk irrespective of the absolute income level.

Grade C + High Utilization + No Delinquency + Long History

CONDITIONAL APPROVAL

Long history without delinquency is a meaningful offset to current utilization pressure; the file should still be structured conservatively (lower amount, closer monitoring).

15.4.3 Reading Three-Way and Four-Way Combinations

Real applications frequently present four or more relevant characteristics simultaneously. The discipline required is to identify which characteristics are reinforcing (pointing the same direction) and which are conflicting (pointing different directions), rather than averaging them into a single impression. A file with three reinforcing positive characteristics and one conflicting negative characteristic is not 'mostly positive' by default — the underwriter must assess whether the single negative characteristic is severe enough to dominate the others (as fraud indicators and active bankruptcy typically do) or whether it is proportionate to be outweighed (as a single aged delinquency typically is).

Table 15.4.3 below sets out a simplified severity ordering that underwriters can use when characteristics conflict. This ordering is a starting heuristic, not a mechanical override table — the case studies in Section 15.8 demonstrate its application and its limits.

Tier	Representative Characteristics	Practical Effect
1 (Dominant)	Confirmed fraud indicator; active, undischarged bankruptcy; verified inability to meet stated obligations	Typically overrides all positive characteristics; routes to Decline or Senior Credit Review
2 (Very High Weight)	Recent (within 12 months) serious delinquency; DTI exceeding policy maximum on a stressed basis	Requires strong, specific compensating evidence to avoid Decline
3 (High Weight)	Poor or Very Poor credit grade; high revolving utilization combined with rising balances	Supports Manual Review at minimum; can be offset by strong affordability and tenure
4 (Moderate Weight)	Short credit history; self-employment without extensive documentation; recent employment change	Usually resolved through Conditional Approval with structuring rather than Decline
5 (Lower Weight)	Single aged and resolved delinquency; moderate utilization; average loan-to-income ratio	Rarely decisive on its own; considered alongside other factors

15.4.4 What Feature Combination Analysis Is Not

- It is not a substitute for verification. A favorable combination built on unverified information is not a favorable file.
- It is not additive scoring. Underwriters should not attempt to assign points to each characteristic and sum them; the severity ordering in Table 15.4.3 is a guide to judgment, not an arithmetic formula.
- It is not static. The same combination can warrant a different outcome depending on the Bank's current risk appetite setting (Section 15.3.10) and portfolio concentration (Section 15.3.7).

15.5. Approval Decision Framework

This section defines each of the seven decision tiers referenced throughout this chapter. For each tier it sets out the business justification for using that tier, the risk considerations an underwriter should weigh, the supporting evidence typically required, and the borrower characteristics most commonly associated with that outcome.

15.5.1 Strong Approval

Business Justification: Reserved for applications where every major dimension in Section 15.3 is favorable and mutually reinforcing, with no unresolved conflicting signal.

Risk Considerations: Minimal — the file presents low probability of default and low loss-given-default even under a moderate stress scenario.

Supporting Evidence Required: Verified income, clean bureau pull with no unresolved discrepancies, DTI comfortably within policy on both a current and stressed basis.

Typical Borrower Characteristics: Grade A or high Grade B; low-to-moderate DTI; stable, tenured employment or long residential and account history; loan amount proportionate to income and purpose.

15.5.2 Standard Approval

Business Justification: The default outcome for applications that clear policy thresholds without requiring special structuring, but that do not present the uniformly exceptional profile required for Strong Approval.

Risk Considerations: Low to moderate — ordinary underwriting risk, adequately mitigated by the borrower's overall profile.

Supporting Evidence Required: Verified income and employment; DTI within policy; no unresolved fraud indicators; credit grade at or above the product's minimum threshold.

Typical Borrower Characteristics: Grade B typical; DTI within standard policy range; employment and residence stability consistent with, though not exceptional relative to, portfolio norms.

15.5.3 Conditional Approval

Business Justification: Used where the underlying borrower is approvable but the file as submitted requires structuring — a reduced amount, shorter term, additional documentation, or a co-applicant — to bring risk within acceptable bounds.

Risk Considerations: Moderate — an identifiable risk factor exists but is capable of being mitigated through loan structure rather than requiring decline.

Supporting Evidence Required: Sufficient evidence to identify the specific mitigant required; the file should state explicitly what condition is attached and why it addresses the identified risk.

Typical Borrower Characteristics: Reinforcing positive characteristics undermined by one moderate-weight negative factor (see Table 15.4.3), such as elevated DTI offset by strong income, or moderate grade offset by long tenure.

15.5.4 Manual Review

Business Justification: Used where the file contains conflicting signals, incomplete documentation, or a combination not clearly addressed by standard policy, such that an automated or junior underwriting pass cannot responsibly resolve it.

Risk Considerations: Uncertain by definition — the purpose of this tier is to route the file to a reviewer with the authority and experience to resolve the ambiguity, not to make a preliminary lean toward approval or decline.

Supporting Evidence Required: Whatever evidence exists in the file plus a clear statement of what is missing or conflicting; the reviewer's task includes determining what additional evidence, if any, would resolve the ambiguity.

Typical Borrower Characteristics: Common triggers include low income with a high requested amount, an excellent grade combined with high utilization, thin documentation, or a recent material change in employment or income.

15.5.5 Senior Credit Review

Business Justification: Used where the requested exposure exceeds standard underwriter authority, where an unresolved fraud indicator is present, or where Manual Review has been unable to reach a confident recommendation.

Risk Considerations: Elevated — either because of exposure size or because of specific risk indicators that require senior sign-off regardless of the file's other characteristics.

Supporting Evidence Required: A complete underwriting file plus a written recommendation from the reviewing underwriter, including the specific basis for escalation.

Typical Borrower Characteristics: Large loan amounts relative to policy limits, any confirmed or suspected fraud indicator, or a combination of severe negative characteristics (Tier 1 or Tier 2 in Table 15.4.3) alongside genuinely strong compensating evidence.

15.5.6 Risk Committee Review

Business Justification: Reserved for applications that raise portfolio-level considerations — concentration limits, segment risk appetite, or precedent-setting structuring — beyond what an individual senior reviewer can resolve.

Risk Considerations: Assessed at both the individual application level and the portfolio level simultaneously.

Supporting Evidence Required: The individual underwriting file plus a portfolio concentration summary from Risk Management addressing how this exposure fits within current appetite limits.

Typical Borrower Characteristics: Any borrower profile where the individual-level analysis under Sections 15.3–15.4 is sound but where segment, geography, or product concentration is already near policy limits.

15.5.7 Decline

Business Justification: Used where the evidence does not support a reasonable expectation of repayment, where a confirmed fraud indicator exists, or where dominant negative characteristics (Table 15.4.3, Tier 1) are present without sufficient compensating evidence.

Risk Considerations: The application presents unacceptable probability of default, unacceptable loss-given-default, or both, and no available structuring mitigates this to an acceptable level.

Supporting Evidence Required: The decline reason must be specific and tied to identifiable characteristics in the file so that accurate adverse action reasons can be provided in accordance with Chapter 12 fair lending requirements.

Typical Borrower Characteristics: Confirmed fraud indicator; active undischarged bankruptcy without adequate mitigant; DTI materially exceeding policy on a stressed basis with no verified compensating income or assets; severe, recent, and repeated delinquency.

15.6. Decision Confidence

Every decision recorded under Section 15.5 should also carry a confidence assessment. Confidence is distinct from the decision tier itself: a Decline can be made with high confidence (a confirmed fraud indicator) or with only moderate confidence (a thin file where the balance of evidence leans toward decline but a specific data gap remains). Recording confidence separately from the decision allows the Bank to identify which declined or approved files are the best candidates for follow-up review or for the collection of additional evidence.

Confidence Level	Indicators	Underwriter Action
High Confidence	All relevant characteristics point in the same direction; documentation is complete and verified; no material data gaps exist.	Standard file handling; no further evidence required before finalizing the decision.
Medium Confidence	Most characteristics point in one direction but at least one factor is unverified, aged, or moderately conflicting.	Consider whether a specific, targeted piece of additional evidence would resolve the remaining uncertainty before finalizing.
Low Confidence	Characteristics conflict substantially, documentation is incomplete, or the applicant's profile does not closely resemble the patterns in Section 15.4.	Route to Manual Review or Senior Credit Review rather than finalizing a decision on incomplete confidence.

15.6.1 Borderline Cases

A borderline case is one where the applicant sits close to a policy threshold — a DTI a few points from the limit, a grade one notch from the minimum. Borderline cases should not be resolved by treating the threshold as a hard line; instead, the underwriter should look to the surrounding characteristics (Section 15.4) to determine which side of the line the totality of the file supports.

15.6.2 Conflict Between Features

Genuine conflict — for example, an excellent grade alongside high, rising utilization — should be named explicitly in the file rather than resolved silently in either direction. The severity ordering in Table 15.4.3 provides a starting point, but the underwriter's written rationale should explain specifically why one factor was weighted more heavily than the other in the case at hand.

15.6.3 Missing Information

Where a required piece of evidence is simply absent rather than conflicting — for example, no bureau record because the applicant is new to credit — the correct response is usually Manual Review with a specific request for alternative evidence (rental payment history, utility payment history, bank statement history) rather than an assumption in either direction. Treating an absence of information as equivalent to a negative characteristic is a common underwriting error addressed further in Section 15.9.

15.7. Exceptional Cases

The patterns in Section 15.4 cover the great majority of applications. This section addresses recurring situations that fall outside those patterns and require a distinct approach.

15.7.1 Very High Income but Poor Credit

High income does not repair a poor credit history; it changes what kind of poor credit history is concerning. Underwriters should distinguish poor credit driven by an isolated, explainable event (medical hardship, a documented business failure years in the past) from poor credit driven by a sustained pattern of missed obligations despite adequate income, which is a stronger negative signal precisely because income was not the constraint. The latter pattern typically supports Manual Review or Decline even at high income levels.

15.7.2 Excellent Grade but High DTI

An excellent grade reflects historical discipline; high DTI reflects current capacity. Where the two conflict, the underwriter should determine whether the high DTI is recent (suggesting a change in circumstances that the grade has not yet caught up to) or longstanding and stable (suggesting the borrower manages a high but sustainable debt load deliberately). The former warrants more caution than the latter.

15.7.3 Low Income but Very Small Loan

A small loan amount relative to income can offset an otherwise thin affordability profile. Underwriters should still confirm that the small amount reflects genuine need rather than an initial, deliberately conservative request intended to establish a relationship before seeking larger exposure — a pattern that is not itself disqualifying but that should be noted for future file review.

15.7.4 Strong Employment but High Debt

Stable, well-paid employment is a durability signal, not an affordability signal on its own. A borrower with strong employment and high existing debt should be assessed primarily on whether the new obligation still clears the affordability stress test in Section 15.2.5 — employment stability does not substitute for that calculation.

15.7.5 New Credit History

Applicants with a short credit history should not be treated as equivalent to applicants with a poor one. Where available, alternative payment history (rent, utilities, telecom) should be requested and weighted. New-to-credit applicants are typically well suited to Conditional Approval with a modest initial exposure that allows the Bank to build a performance record before extending further credit.

15.7.6 Self-Employed Applicants

Self-employed income is verified through tax filings and bank statement analysis rather than payslips, typically averaged over a two-year period to smooth business income volatility. A single strong year following weaker prior years should be treated with more caution than steadily growing income over the same period. Documentation requirements are necessarily more extensive, and thin documentation should route to Manual Review rather than being treated as a negative credit signal in itself.

15.7.7 Multiple Recent Loans

Several new obligations opened in a short window — even where each is individually current — can indicate reliance on new credit to meet existing obligations, sometimes referred to as loan stacking. This pattern warrants Manual Review to confirm the purpose of each obligation and whether combined payments were reflected accurately in the affordability assessment.

15.8. Enterprise Case Studies

The following cases illustrate how Sections 15.3 through 15.7 apply to representative applications. Applicant names, employers, and identifying details are illustrative composites and do not correspond to actual borrowers. Each case sets out the applicant profile as it appeared at intake, the borrower and risk analysis performed, the feature interaction the underwriter identified, the decision reached, the business justification for that decision, a recommended monitoring approach, and how the decision would change under a plausible alternative fact pattern.

Case 15.8.1

Strong Approval — Salaried Professional, Debt Consolidation

Purpose	Debt consolidation
Requested Amount	PKR 800,000 (36 months)
Verified Monthly Income	PKR 285,000 (salaried, 6-year tenure)
Credit Grade	A
DTI (post-loan)	19%
Existing Obligations	One auto loan, current, 14 months remaining

Borrower Analysis: The applicant has been employed in the same mid-management role for six years, with income verified directly against payroll records and twelve months of bank statements showing consistent deposits. Residential tenure exceeds four years at the current address.

Risk Analysis: Credit bureau history spans nine years across four account types with no delinquency on record. Revolving utilization is 11%, well below the threshold typically associated with financial pressure. The consolidation purpose reduces the applicant's total number of monthly obligations from three to one.

Feature Interaction: High income, low post-loan DTI, and Grade A credit are mutually reinforcing with no conflicting characteristic present in the file.

STRONG APPROVAL

Business Justification: Every dimension in Section 15.3 is favorable, verified, and consistent. The loan reduces the applicant's obligation complexity rather than adding to it, which further supports approval at the requested terms.

Recommended Monitoring: Standard annual portfolio review; no elevated monitoring required.

Alternative Outcome: Had the applicant's employment tenure been under twelve months, the same financial profile would likely be routed to Standard Approval pending an additional pay cycle of verification rather than Strong Approval.

Case 15.8.2

Conditional Approval — High Income, Elevated DTI

Purpose	Home improvement
Requested Amount	PKR 1,500,000 (48 months)
Verified Monthly Income	PKR 520,000 (salaried, 3-year tenure)
Credit Grade	B
DTI (post-loan)	42%
Existing Obligations	Mortgage, one personal loan, two credit cards

Borrower Analysis: Income is well verified and substantial, but the applicant already carries a mortgage and a personal loan, and post-loan DTI sits close to the upper boundary of standard policy for the product.

Risk Analysis: Grade B reflects generally sound but not exceptional credit management; one credit card carries utilization above 70%. No delinquency is present in the file.

Feature Interaction: High income partially offsets the elevated DTI, but the combination is not uniformly favorable — the stress test in Section 15.2.5 shows materially reduced cushion under a modest rate increase on the applicant's variable-rate mortgage exposure.

CONDITIONAL APPROVAL

Business Justification: Income and grade support approval in principle, but the requested amount should be reduced or the term shortened to bring the stressed DTI within policy; approval is conditioned on the applicant accepting a reduced amount of PKR 1,100,000.

Recommended Monitoring: Six-month check-in on revolving utilization; flag for review if utilization rises further or a payment is missed on any existing obligation.

Alternative Outcome: If the applicant's income were fixed-rate and the mortgage were also fixed-rate, removing the rate-stress concern, Standard Approval at the full requested amount would likely be supportable.

Case 15.8.3

Manual Review — Low Income, Large Requested Amount

Purpose	Business investment
Requested Amount	PKR 2,000,000 (60 months)
Verified Monthly Income	PKR 140,000 (salaried, 2-year tenure)
Credit Grade	B
DTI (post-loan)	51% (exceeds standard policy)
Existing Obligations	None material

Borrower Analysis: The applicant has a clean, if unremarkable, credit file and no existing debt, but the requested amount is more than fourteen times verified monthly income and the stated purpose is not clearly documented beyond a general description.

Risk Analysis: In isolation, Grade B and no existing obligations would support standard processing, but the amount-to-income ratio is well outside policy norms for an unsecured product, and the vague stated purpose is itself a documentation quality concern under Section 15.3.9.

Feature Interaction: A clean credit file cannot offset a fundamental affordability mismatch; this is the 'Low Income + High Loan Amount' pattern from Section 15.4.1.

MANUAL REVIEW

Business Justification: The file requires the underwriter to obtain specific documentation of the business purpose and to discuss a reduced amount with the applicant before a decision can responsibly be reached; the amount as requested would not clear affordability under any reasonable structuring.

Recommended Monitoring: Not applicable pending outcome of review.

Alternative Outcome: If the applicant provided a specific, verifiable business plan and reduced the requested amount to approximately PKR 600,000, the file would likely move to Conditional Approval.

Case 15.8.4

Higher Risk / Decline — Moderate Grade, Recent Delinquency

Purpose	Debt consolidation
Requested Amount	PKR 500,000 (24 months)
Verified Monthly Income	PKR 190,000
Credit Grade	C
DTI (post-loan)	38%
Existing Obligations	Two credit cards, one 45 days past due within last 4 months

Borrower Analysis: Income is adequate relative to the requested amount, but the applicant has a recent delinquency that postdates, rather than predates, a period of stable employment, suggesting the delinquency reflects a current rather than historical difficulty.

Risk Analysis: Grade C combined with a delinquency inside the twelve-month look-back window matches the 'Grade C + Recent Delinquencies' pattern in Section 15.4.1, which typically supports Manual Review or Decline rather than standard processing.

Feature Interaction: Moderate grade and recent delinquency are reinforcing negative signals; no characteristic in the file offsets them with sufficient strength.

DECLINE

Business Justification: The purpose of the loan is debt consolidation, but the recency of delinquency indicates the applicant's current capacity to service even consolidated debt is in question; approving consolidation debt onto a borrower actively falling behind does not reduce risk, it transfers it.

Recommended Monitoring: Not applicable.

Alternative Outcome: If the delinquency were resolved and aged beyond eighteen months with clean performance since, this file would likely support Conditional Approval instead.

Case 15.8.5

Reduced Risk — Moderate Grade, Strong Employment and Verified Income

Purpose	Vehicle purchase
Requested Amount	PKR 1,200,000 (48 months)
Verified Monthly Income	PKR 310,000 (salaried, 9-year tenure)
Credit Grade	B
DTI (post-loan)	24%
Existing Obligations	None material

Borrower Analysis: Nine years of continuous employment with the same employer, combined with fully verified income and no existing obligations, provides strong evidence of payment durability that is not fully captured by the credit grade alone.

Risk Analysis: Grade B reflects a generally sound file with no derogatory marks; the combination of long tenure and low DTI is a reinforcing positive pattern consistent with Section 15.4.1's 'Grade B + Verified Income + Long Employment' combination.

Feature Interaction: Employment tenure and low DTI offset the fact that the grade is good rather than excellent, supporting an outcome above what grade alone would suggest.

STANDARD APPROVAL

Business Justification: The file meets standard policy comfortably, and the tenure and DTI profile provide additional confidence beyond the minimum threshold, though the file does not meet the uniformly exceptional bar required for Strong Approval given the moderate grade.

Recommended Monitoring: Standard annual review.

Alternative Outcome: If tenure were under two years rather than nine, the same income and DTI profile would likely still clear Standard Approval, but with less confidence margin, warranting a Medium rather than High confidence rating under Section 15.6.

Case 15.8.6

Mixed Risk — Excellent Grade, High Revolving Utilization

Purpose	Personal expenses
Requested Amount	PKR 400,000 (24 months)
Verified Monthly Income	PKR 260,000
Credit Grade	A
DTI (post-loan)	22%
Existing Obligations	Three credit cards, combined utilization 86%

Borrower Analysis: The applicant's payment history is excellent with no delinquency across an eight-year file, but current revolving utilization is unusually high relative to the grade, which typically corresponds to lower utilization.

Risk Analysis: High utilization at an otherwise excellent grade is the 'Excellent Grade + High Revolving Utilization' pattern in Section 15.4.1, explicitly identified as genuinely ambiguous rather than resolvable by grade alone.

Feature Interaction: Historical discipline (grade) and current financial pressure (utilization) point in different directions; DTI is low enough to suggest the utilization has not yet translated into unaffordability, but the trend bears watching.

CONDITIONAL APPROVAL

Business Justification: Approval is supportable given the low DTI and clean payment history, but the amount should be kept at or below the requested level, and the underwriter should confirm the reason for the elevated utilization directly with the applicant.

Recommended Monitoring: Quarterly utilization check for the first year; escalate to Risk Management if utilization trends upward further or a payment is missed.

Alternative Outcome: If the utilization pattern proves to reflect a one-off event (e.g., a large purchase since repaid), subsequent applications from this borrower would likely qualify for Standard or Strong Approval.

Case 15.8.7

Likely Decline — Poor Grade, Bankruptcy History, High DTI

Purpose	Debt consolidation
Requested Amount	PKR 900,000 (36 months)
Verified Monthly Income	PKR 165,000
Credit Grade	D
DTI (post-loan)	58%
Existing Obligations	Bankruptcy discharged 14 months ago; two open accounts since discharge, both current

Borrower Analysis: The applicant has begun rebuilding credit since a discharge fourteen months ago, with two accounts opened and maintained current since, but the rebuilding period is short relative to the size of the new request.

Risk Analysis: Grade D, recency of bankruptcy, and a post-loan DTI well above policy maximum together match the 'Poor Grade + Bankruptcy + High DTI' pattern identified in Section 15.4.1 as rarely supportable.

Feature Interaction: Each characteristic independently signals elevated risk, and none is offset by a compensating factor of sufficient weight; the two current accounts since discharge are a positive sign but are too recent to outweigh the combination.

DECLINE

Business Justification: The stressed DTI alone would exceed policy maximum even before accounting for the recency of bankruptcy and the low grade; no available loan structuring brings this combination within acceptable risk tolerance at this time.

Recommended Monitoring: Not applicable; applicant may be reconsidered after a longer period of post-discharge performance, per Chapter 12 reapplication guidance.

Alternative Outcome: At 30 months post-discharge with continued clean performance and a smaller requested amount bringing DTI under 40%, this profile would likely support Conditional Approval.

Case 15.8.8

Strong Approval — Small Loan, Established Customer Relationship

Purpose	Home appliance purchase
Requested Amount	PKR 150,000 (12 months)
Verified Monthly Income	PKR 175,000
Credit Grade	A
DTI (post-loan)	13%
Existing Obligations	One credit card, utilization 8%, five-year Bank relationship

Borrower Analysis: The applicant has held a deposit and credit relationship with the Bank for five years with no adverse history, and the requested amount is small relative to both income and the applicant's demonstrated capacity.

Risk Analysis: Grade A, low utilization, and a small loan-to-income ratio are all reinforcing; the existing relationship also provides the Bank with independent visibility into account conduct beyond the bureau file.

Feature Interaction: Every characteristic points toward low risk with no conflicting signal.

STRONG APPROVAL

Business Justification: This is a textbook low-friction approval: small, proportionate request from a known, well-performing customer with an excellent grade.

Recommended Monitoring: Standard annual review.

Alternative Outcome: The same request from a new-to-bank applicant with an identical bureau profile would likely still receive Strong Approval, since the bureau file itself is sufficient evidence; the existing relationship strengthens confidence but is not the deciding factor.

Case 15.8.9

Manual Review — Thin File, New-to-Credit Applicant

Purpose	Furniture purchase
Requested Amount	PKR 250,000 (18 months)
Verified Monthly Income	PKR 150,000 (salaried, 18 months)
Credit Grade	Not yet assigned — insufficient history
DTI (post-loan)	17% (estimated)
Existing Obligations	None on file

Borrower Analysis: The applicant is early in their formal credit history, with a single recently opened mobile-phone installment account and no other bureau-reported activity; employment is verified but relatively short in tenure.

Risk Analysis: Absence of a credit grade is a missing-information case under Section 15.6.3, not a negative signal in itself; income is verified and adequate relative to the request.

Feature Interaction: Favorable income and low DTI are undermined only by the absence of the third-party credit history normally used to corroborate payment discipline.

MANUAL REVIEW

Business Justification: The underwriter should request alternative payment evidence (rental history, utility payment history) to substitute for the missing bureau file rather than declining on the basis of absent information or approving without any corroborating history.

Recommended Monitoring: If approved following review, recommend a modest initial amount with quarterly review for the first year to establish a performance record.

Alternative Outcome: If alternative payment history confirms twelve months of on-time rent and utility payments, this file would likely move to Conditional Approval at the full requested amount.

Case 15.8.10

Senior Credit Review — Unresolved Identity Verification Discrepancy

Purpose	Personal loan
Requested Amount	PKR 600,000 (36 months)
Verified Monthly Income	PKR 230,000 (stated; documentation inconsistent)
Credit Grade	B
DTI (post-loan)	27% (based on stated income)
Existing Obligations	One auto loan, current

Borrower Analysis: The applicant's submitted payslip shows an employer name that does not match the employer confirmed through the payroll verification service, and the address on the application does not match the address associated with the applicant's identification document.

Risk Analysis: Both discrepancies are fraud indicators under Section 15.3.8; neither has been resolved at the point of this review, and the credit grade and DTI calculations downstream of the unverified income cannot be relied upon until the discrepancy is explained.

Feature Interaction: An otherwise unremarkable, moderate-risk file is dominated by unresolved fraud indicators, consistent with the Tier 1 severity classification in Table 15.4.3.

SENIOR CREDIT REVIEW

Business Justification: Per Section 15.5.5, any unresolved fraud indicator routes to Senior Credit Review regardless of how favorable the remaining characteristics appear; the file cannot proceed through standard approval channels until the discrepancies are either resolved or confirmed as fraudulent.

Recommended Monitoring: Not applicable pending resolution.

Alternative Outcome: If the applicant provides a documented, verifiable explanation (for example, a recent employer change not yet reflected in payroll records, and a recent house move supported by a lease), the file would return to standard processing at the tier its underlying characteristics support.

*Case 15.8.11***Conditional Approval — Self-Employed Applicant, Strong Bank Statement History**

Purpose	Business equipment
Requested Amount	PKR 1,000,000 (36 months)
Verified Income	Average PKR 340,000/month over 24 months, bank statement basis
Credit Grade	B
DTI (post-loan)	31%
Existing Obligations	None material

Borrower Analysis: The applicant operates a registered retail business for six years; income is verified through 24 months of business bank statements showing a steady upward trend rather than volatility, and two years of filed tax returns corroborate the statement analysis.

Risk Analysis: Grade B with no delinquency is consistent with sound, if unremarkable, personal credit management; the business income evidence is unusually thorough for a self-employed file.

Feature Interaction: Self-employment status would ordinarily require caution per Section 15.7.6, but the strength and consistency of the bank statement evidence substantially mitigates the documentation-quality concern that self-employment typically raises.

CONDITIONAL APPROVAL

Business Justification: Approval is supportable at the requested terms conditioned on retaining copies of the underlying statements and returns in the file; the steady upward income trend, rather than a single strong year, supports confidence in sustainability.

Recommended Monitoring: Annual review of updated business bank statements for the first two years of the facility.

Alternative Outcome: If the income evidence showed a single strong year following two weaker years, the file would more likely route to Manual Review to confirm whether the improvement is durable before approval.

Case 15.8.12

Decline — Excessive Loan-to-Income Ratio, First-Time Borrower

Purpose	Wedding expenses
Requested Amount	PKR 1,800,000 (48 months)
Verified Monthly Income	PKR 210,000
Credit Grade	A
DTI (post-loan)	55%
Existing Obligations	None; first application with the Bank

Borrower Analysis: The applicant's personal credit history is excellent, but the requested amount is more than eight times monthly income, and the Bank has no prior relationship or performance history with this applicant.

Risk Analysis: An excellent grade reflects historical discipline on obligations substantially smaller than the one now requested; grade history does not extend to evidence of how the applicant would manage a payment of this size.

Feature Interaction: Grade A cannot fully offset a loan-to-income ratio and stressed DTI this far outside policy norms, consistent with Section 15.7.1's caution against treating strong credit history as a substitute for demonstrated affordability at the requested scale.

DECLINE

Business Justification: The requested amount, not the applicant's credit history, is the disqualifying factor; the stressed DTI at 55% is well outside policy tolerance for an unsecured product regardless of grade.

Recommended Monitoring: Not applicable.

Alternative Outcome: At a reduced amount of approximately PKR 600,000, bringing DTI to approximately 30%, this applicant's strong grade would likely support Standard or Strong Approval.

Case 15.8.13

Manual Review — Rising Revolving Balances and Multiple Recent Inquiries

Purpose	Debt consolidation
Requested Amount	PKR 700,000 (36 months)
Verified Monthly Income	PKR 240,000
Credit Grade	B
DTI (post-loan)	33%
Existing Obligations	Four credit cards opened in the last 8 months, combined utilization rising from 40% to 78%

Borrower Analysis: Income and employment are verified and adequate, but the pattern of recently opened accounts and rapidly rising utilization is a borrowing-behavior concern under Section 15.3.5 independent of the applicant's still-acceptable grade.

Risk Analysis: This matches the extended combination 'Grade B + Multiple Recent Inquiries + Rising Revolving Balances' in Section 15.4.2, which can precede visible delinquency even where the grade has not yet been affected.

Feature Interaction: Grade and DTI both remain within standard policy, but the trend in the underlying data conflicts with what a point-in-time reading of grade and DTI would suggest.

MANUAL REVIEW

Business Justification: The underwriter should discuss the recent account activity directly with the applicant to determine whether it reflects a one-off event or a sustained pattern of reliance on new credit; the consolidation purpose is a positive sign but must be verified against the applicant's actual spending trend, not merely the credit file average.

Recommended Monitoring: If approved, recommend closing or reducing limits on consolidated accounts as a condition, with quarterly utilization monitoring for 12 months.

Alternative Outcome: If the pattern is explained by a specific, one-off event such as relocation costs and the applicant agrees to close the consolidated accounts, this file would likely support Conditional Approval.

Case 15.8.14

Conditional Approval — Moderate Grade Offset by Stability and Low DTI

Purpose	Medical expenses
Requested Amount	PKR 350,000 (24 months)
Verified Monthly Income	PKR 200,000, 11-year tenure
Credit Grade	C
DTI (post-loan)	18%
Existing Obligations	None material

Borrower Analysis: Eleven years with the same employer and no existing debt are strong stability indicators that sit alongside a credit grade lower than the portfolio norm for approval.

Risk Analysis: Grade C is driven by two delinquencies more than four years old, both since resolved with no repeat occurrence; more recent bureau activity shows consistent, current performance.

Feature Interaction: This matches the extended combination 'Grade C + Stable Long-Term Employment + Low DTI' in Section 15.4.2, a common second-look profile where affordability and tenure offset a moderate grade.

CONDITIONAL APPROVAL

Business Justification: The age and resolution of the delinquencies, combined with very low DTI and long tenure, support approval at a reduced amount of PKR 300,000 rather than full decline on the basis of grade alone.

Recommended Monitoring: Standard annual review; no elevated monitoring required given the low DTI cushion.

Alternative Outcome: If either delinquency were within the last 18 months rather than four years old, the same tenure and DTI profile would more likely support Manual Review rather than immediate Conditional Approval.

Case 15.8.15

Standard Approval — Secured Product Offsetting Moderate Grade

Purpose	Vehicle purchase, vehicle as collateral
Requested Amount	PKR 1,100,000 (48 months)
Verified Monthly Income	PKR 195,000
Credit Grade	D
DTI (post-loan)	29%
Existing Obligations	None material

Borrower Analysis: The applicant's credit grade is weak, driven primarily by a thin file with one prior missed payment, but income is verified and adequate, and the product is secured by the vehicle being financed.

Risk Analysis: Collateral materially changes the loss-given-default profile even where probability of default, reflected in the grade, remains elevated — the 'Grade D + Very Low Loan Amount + Secured Product' pattern in Section 15.4.2, extended here to a moderate rather than very low amount given the collateral coverage.

Feature Interaction: Weak grade is substantially mitigated, though not eliminated, by security and adequate DTI.

CONDITIONAL APPROVAL

Business Justification: Approval is supportable given the collateral and DTI, but pricing should reflect the elevated probability of default indicated by grade, and the loan-to-value ratio on the vehicle should be confirmed within policy before final approval.

Recommended Monitoring: Confirm insurance and lien registration on the vehicle at disbursement; standard annual review thereafter.

Alternative Outcome: On an unsecured basis, the same grade and DTI profile would more likely route to Manual Review or Decline given the absence of any loss-mitigating collateral.

Case 15.8.16

Manual Review — Recent Job Change Alongside High DTI

Purpose	Personal loan
Requested Amount	PKR 450,000 (24 months)
Verified Monthly Income	PKR 275,000 (new role, same field, 3 months tenure)
Credit Grade	B
DTI (post-loan)	44%
Existing Obligations	One personal loan, current

Borrower Analysis: The applicant recently moved to a higher-paying position within the same industry after five years at a prior employer; the new income is verified but the tenure at the new employer is short and may include a probationary period.

Risk Analysis: DTI calculated on the new, higher income clears standard policy, but relies entirely on income that has not yet been demonstrated over a meaningful period at the new employer.

Feature Interaction: This is the 'High DTI + Recent Job Change (Same Field, Higher Pay)' pattern from Section 15.4.2 — genuinely ambiguous, since the change could reflect either positive career advancement or elevated employment risk.

MANUAL REVIEW

Business Justification: The underwriter should confirm whether the new role includes a probationary period and, if so, its length and terms, before relying on the new income; if the prior, lower income were used instead, DTI would exceed policy maximum.

Recommended Monitoring: If approved, recommend confirming successful completion of probation before any future credit line increase.

Alternative Outcome: If the new role has no probationary period and the employer confirms permanent status in writing, this file would likely support Standard Approval.

Case 15.8.17

Strong Approval — Aged, Resolved Delinquency with Long Clean History Since

Purpose	Home improvement
Requested Amount	PKR 600,000 (36 months)
Verified Monthly Income	PKR 230,000, 7-year tenure
Credit Grade	B
DTI (post-loan)	21%
Existing Obligations	One credit card, utilization 15%

Borrower Analysis: The applicant has a single delinquency recorded five years ago, attributable to a documented medical event, with seven years of otherwise clean, on-time performance both before and after that period.

Risk Analysis: The delinquency is a Tier 5 (lower weight) characteristic under Table 15.4.3 given its age and the clean performance surrounding it; it does not meaningfully detract from an otherwise strong file.

Feature Interaction: Low DTI, long tenure, and low utilization are all reinforcing; the single aged delinquency does not conflict with the overall pattern in any material way.

STRONG APPROVAL

Business Justification: Consistent with Section 15.7's guidance on aged, resolved, explained derogatory history, this single event five years in the past does not offset seven years of otherwise strong performance and a comfortably affordable request.

Recommended Monitoring: Standard annual review.

Alternative Outcome: If the delinquency had recurred at any point since, even at a lesser severity, this file would more likely route to Standard Approval rather than Strong Approval pending further review of the recurrence.

*Case 15.8.18***Decline — Confirmed Fraud Indicator, Fabricated Income Documentation**

Purpose	Personal loan
Requested Amount	PKR 750,000 (36 months)
Stated Monthly Income	PKR 300,000 (documentation found to be altered)
Credit Grade	B
DTI (as stated)	26%
Existing Obligations	One auto loan, current

Borrower Analysis: Forensic review of the submitted payslip identified inconsistent font formatting and a payroll reference number that does not match the employer's confirmed numbering convention; the employer's payroll office confirmed the applicant's actual salary is materially lower than stated.

Risk Analysis: A confirmed fraud indicator under Section 15.3.8 is present; the credit grade and DTI calculated on the stated income are no longer reliable inputs to the decision.

Feature Interaction: Per Table 15.4.3, a confirmed fraud indicator is a Tier 1, dominant characteristic that overrides all other, otherwise favorable, characteristics in the file.

DECLINE

Business Justification: Confirmed document fraud is disqualifying regardless of the applicant's credit grade or any other characteristic; the file should also be referred to the Bank's financial crime function per Chapter 12 procedures.

Recommended Monitoring: Not applicable; applicant flagged for financial crime review.

Alternative Outcome: None — a confirmed fraud finding does not have an alternative outcome under this framework.

*Case 15.8.19***Standard Approval — Portfolio Concentration Cleared at Underwriter Level**

Purpose	Debt consolidation
Requested Amount	PKR 550,000 (30 months)
Verified Monthly Income	PKR 215,000
Credit Grade	B
DTI (post-loan)	28%
Existing Obligations	Two credit cards, moderate utilization

Borrower Analysis: The applicant's individual profile is unremarkable and clears standard policy comfortably across all dimensions in Section 15.3.

Risk Analysis: A portfolio concentration check confirms the applicant's branch and segment remain within current risk appetite limits, so no escalation to Risk Committee Review under Section 15.3.7 is required.

Feature Interaction: No individual characteristic conflicts, and no portfolio-level constraint applies.

STANDARD APPROVAL

Business Justification: A straightforward approval at standard policy terms; documented here primarily to illustrate that the portfolio concentration check in Section 15.3.7 is performed on every file, not only those that are otherwise borderline.

Recommended Monitoring: Standard annual review.

Alternative Outcome: Had the branch been approaching its concentration limit for this product segment, an otherwise identical file could instead have been routed to Risk Committee Review notwithstanding a clean individual profile.

Case 15.8.20

Manual Review — Loan Stacking Pattern

Purpose	Debt consolidation
Requested Amount	PKR 500,000 (24 months)
Verified Monthly Income	PKR 260,000
Credit Grade	B
DTI (post-loan, as reported)	35%
Existing Obligations	Three personal loans opened in the past 5 months, each individually current

Borrower Analysis: The applicant currently services three separate personal loans opened within a five-month window, each of which remains current, alongside stable, verified employment.

Risk Analysis: This matches the 'Multiple Recent Loans' exceptional case in Section 15.7.7; the pattern is consistent with loan stacking, where new credit may be used to service existing obligations rather than for genuinely separate purposes.

Feature Interaction: Each individual obligation being current is a positive fact, but the pattern of acquisition itself is the concerning signal, independent of current performance.

MANUAL REVIEW

Business Justification: The underwriter must confirm the purpose of each of the three existing loans and verify that combined payments were fully captured in the reported DTI, which may understate the true obligation if any of the three loans is itself being used to service another.

Recommended Monitoring: If approved, recommend requiring this loan to directly retire at least one of the three existing obligations as a condition, per Section 15.5.3.

Alternative Outcome: If verification confirms the three loans serve genuinely separate, documented purposes (e.g., medical, vehicle repair, and education, each supported by receipts) with no evidence of stacking, the file would more likely support Conditional Approval.

Case 15.8.21

Conditional Approval — New-to-Credit Applicant with Strong Alternative Data

Purpose	Education expenses
Requested Amount	PKR 300,000 (24 months)
Verified Monthly Income	PKR 180,000, 2-year tenure
Credit Grade	Not yet assigned
DTI (post-loan, estimated)	19%
Alternative Evidence	24 months on-time rent and utility payment history, independently confirmed

Borrower Analysis: The applicant has no bureau-reported credit history but has provided two years of independently verifiable rental and utility payment records showing consistent, on-time payment.

Risk Analysis: Per Section 15.7.5, alternative payment history should be weighted when available for new-to-credit applicants; the evidence here is unusually strong and directly addresses the missing-information concern raised in Section 15.6.3.

Feature Interaction: Low DTI and adequate income are reinforced, rather than undermined, by the alternative evidence in place of a bureau grade.

CONDITIONAL APPROVAL

Business Justification: Approval at the requested amount is supportable, conditioned on this being treated as an initial facility with the Bank; a modest facility size relative to income is appropriate until a bureau-reported performance history can be established.

Recommended Monitoring: Quarterly review for the first 12 months to build a formal performance record ahead of any future credit request.

Alternative Outcome: Absent the alternative payment evidence, this same file would more likely be held at Manual Review pending collection of that evidence rather than proceeding directly to Conditional Approval.

15.9. Common Underwriting Mistakes

The mistakes documented in this section are drawn from recurring themes in internal file review and audit findings. None are unique to Stratum Capital Bank; they are common failure modes across consumer underwriting generally, which is precisely why they are worth naming explicitly.

15.9.1 Ignoring DTI

Treating credit grade as a sufficient proxy for affordability. A strong grade describes historical discipline, not current capacity; every file requires an explicit DTI calculation and stress test regardless of how favorable the grade appears.

15.9.2 Overestimating Income

Accepting stated income without verification, or verifying gross rather than net income where net is the appropriate basis, or including variable income components (overtime, bonus, commission) at their peak rather than a conservative average.

15.9.3 Ignoring Employment Stability

Treating current employment status as static rather than assessing tenure, industry stability, and the durability of the specific role. A borrower's income is only as reliable as the employment that produces it.

15.9.4 Ignoring Credit Behaviour

Focusing on the point-in-time grade without reviewing the trend — rising utilization, increasing inquiry frequency, or a pattern of near-delinquency that has not yet crossed into a reportable event. Section 15.3.5 and 15.3.6 exist precisely because grade alone does not capture behavior.

15.9.5 Excessive Loan Amount

Approving the full requested amount without testing whether a smaller amount would still meet the borrower's stated purpose. Section 15.5.3 exists in part to formalize amount reduction as a standard mitigant rather than an exception.

15.9.6 Poor Documentation

Recording a decision without recording the specific reasoning tied to file evidence. A decision that cannot be reconstructed from the file six months later has failed the documentation standard regardless of whether the decision itself was correct.

15.9.7 Manual Override Errors

Overriding a system or policy-indicated outcome without a documented, specific basis. Overrides are a legitimate and necessary part of underwriting judgment, but an undocumented override is indistinguishable, on file review, from an unjustified one.

15.10. Best Practice Guidelines

This closing section summarizes the enterprise principles that this chapter's detailed guidance is intended to serve. Where a situation arises that this handbook does not directly address, these principles should guide the underwriter's approach.

15.10.1 Consistency

Applicants with substantially similar characteristics should receive substantially similar decisions. Section 15.4's combination library and Section 15.5's decision tiers exist to support this consistency across branches, channels, and individual underwriters.

15.10.2 Fairness

Decisions must be based on evidence of repayment capacity and creditworthiness, applied consistently across all applicants in accordance with the fair lending standards set out in Chapter 12. Characteristics unrelated to repayment capacity have no place in this framework.

15.10.3 Transparency

Every decision should be explainable in terms of the specific characteristics that drove it. An applicant who is declined is entitled to know, in substance, why; an internal reviewer or auditor should be able to reconstruct the reasoning from the file alone.

15.10.4 Risk Management

Individual lending decisions collectively determine portfolio risk. Underwriters are expected to consider not only whether an individual applicant is approvable but how that decision fits within the Bank's broader risk appetite, per Section 15.3.7 and Section 15.3.10.

15.10.5 Documentation

A well-documented decision is a defensible decision. This applies equally to approvals, declines, and conditional structures — every decision tier requires a specific, evidence-based rationale.

15.10.6 Portfolio Quality

Underwriting standards exist to protect the long-term quality of the loan portfolio, not merely to process the immediate application in front of the underwriter. A pattern of marginal approvals, even where each is individually defensible, can degrade portfolio quality over time and should be flagged to Risk Management.

15.10.7 Responsible Lending

The Bank's obligation to lend responsibly applies to every decision tier, including approvals. An approval that is defensible on paper but that the underwriter has reason to believe places genuine strain on the applicant's finances should be revisited, restructured, or escalated rather than processed as submitted.

This concludes Chapter 15 of the Stratum Capital Bank Enterprise Governance & Risk Framework. For related material, refer to Chapter 4 (Borrower Risk Characteristics), Chapter 7 (Credit Risk Rating Methodology), Chapter 9 (Portfolio Risk Appetite), and Chapter 12 (Compliance & Fair Lending Standards).